

HK Regulatory Compliance Digest

August 2026 Edition · Covering 1 August 2026 – 31 August 2026

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IN THIS ISSUE

August 2026 was a notably active month for SFC enforcement alongside routine circular and licensing activity. Four separate enforcement outcomes were recorded: a licence revocation and ten-year ban against a former Keptain Securities and Asset Management responsible officer for window-dressing liquid capital; a six-year director disqualification over fictitious transactions at National United Resources Holdings Limited; an adjourned criminal prosecution for non-compliance with SFC investigation notices in a market manipulation matter; and 13-year disqualification orders against three former China Candy Holdings executives for accounting fraud. On the supervisory side, a new SFC circular set out expected controls for licensed firms using simplified eDDA arrangements to receive client deposits, with direct relevance to client onboarding, deposit verification and ongoing AML monitoring. Separately, the four financial regulators announced the first cohort of the GenA.I. Sandbox++ initiative, spanning risk management, anti-fraud and customer experience use cases.

SECURITIES AND FUTURES COMMISSION — SFC

24 AUG 2026

SFC Revokes Licence and Bans Former Responsible Officer of Keptain Securities and Asset Management for 10 Years

The SFC revoked the licence of Mr Ernest Chan Tsz Kin, former responsible officer of Keptain Securities and Asset Management Limited, and banned him from re-entering the industry for ten years, from 24 August 2026 to 23 August 2036. The SFC found that between June 2016 and March 2018, Chan caused Keptain to window-dress its liquid capital position in 15 financial returns using cheques deposited around month-end but dishonoured shortly after. Keptain had liquid capital deficits of up to \$3.47 million during the period and failed to notify the SFC as required.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=26PR128>

Enforcement

Licensing & Supervision

20 AUG 2026

SFC Circular: Mitigating Risks in Receiving Client Deposits through Simplified eDDA Arrangements

The SFC issued circular SFO/IS/033/2026 to licensed corporations, licensed virtual asset service providers and associated entities on risks arising from simplified Electronic Direct Debit Authorisation (eDDA) arrangements used to receive client deposits. It sets out expected pre-implementation risk assessments, verification of client authorisation and account ownership, red-flag monitoring for suspicious deposit patterns, and mitigation measures such as transaction limits,

withholding periods and step-up authentication. Firms are reminded of related obligations under the Code of Conduct, the VATP Guidelines and the AML/CTF Guideline.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/intermediaries/supervision/doc?refNo=26EC51>

Client Onboarding & KYC

AML/CTF

Trade Monitoring & Surveillance

13 AUG 2026

Court Hearing Adjourned in Criminal Prosecution for Non-Compliance with SFC Investigation Notices

The Eastern Magistrates' Court adjourned to 17 September 2026 the criminal trial of Mr Oliver Chow Pak Wah, prosecuted for allegedly failing without reasonable excuse to produce records and attend interviews required by SFC notices issued under section 183 of the Securities and Futures Ordinance in connection with two market manipulation investigations. Chow, who had earlier failed to attend two court hearings and was arrested under warrant, pleaded not guilty to three charges and was granted bail subject to a HK\$15,000 cash bail, surrender of travel documents, a fixed residential address and thrice-weekly police reporting. The case underscores the SFC's readiness to prosecute non-compliance with statutory investigation notices.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/enforcement-news/doc?refNo=26PR125>

Enforcement

Trade Monitoring & Surveillance

13 AUG 2026

SFC Obtains Six-Year Disqualification Order Against Former Executive Director of National United Resources Holdings Over Fictitious Transactions

The Court of First Instance disqualified Mr Tian Songlin, a former executive director of National United Resources Holdings Limited (NUR), for six years after he admitted breaching his fiduciary duties by recklessly involving a subsidiary in two fictitious fuel-oil transactions worth US\$75.46 million, arranged through related parties and supported by false shipping documents. Tian also admitted providing pre-signed payment instructions facilitating over HK\$302 million in transfers without questioning their purpose, and to recklessly causing misleading statements in NUR's 2015 annual results. Three other former directors and a suspected shadow controller remain unlocatable, and the SFC is asking the public for information on their whereabouts.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/enforcement-news/doc?refNo=26PR124>

Enforcement

6 AUG 2026

SFC Obtains 13-Year Disqualification Orders Against Former Top Executives of China Candy Holdings for Corporate Malfeasance

The Court of First Instance made 13-year disqualification orders against three former top executives of China Candy Holdings Limited — its former chairman, CEO and chief financial controller — for orchestrating a scheme that overstated the company's reported cash and bank balances by 87% and 97% in its 2016 interim and annual reports through fictitious deposits, falsified bank documents and unrecorded transactions. The Court found the trio held positions enabling them

to instigate, permit or perpetuate the scheme, which was designed to circumvent audit oversight. The orders conclude the SFC's section 214 proceedings against China Candy's former directors and senior executives.

Read more: <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/enforcement-news/doc?refNo=26PR123>

Enforcement

ENFORCEMENT WATCH — SFC, AUGUST 2026

Our enforcement scan for August 2026 covered new disciplinary sanctions, licence suspensions or revocations, worldwide freezing or injunction orders, and criminal prosecutions, convictions or sentencing. Four enforcement outcomes were identified and are summarised opposite: the licence revocation and ten-year ban against the former responsible officer of Keptain Securities and Asset Management Limited (24 Aug); a six-year disqualification order against a former executive director of National United Resources Holdings Limited over fictitious transactions (13 Aug); an adjourned criminal prosecution against an individual for non-compliance with SFC investigation notices in a market manipulation matter (13 Aug); and 13-year disqualification orders against three former top executives of China Candy Holdings Limited for accounting fraud (6 Aug). We also continue to track the worldwide asset-freezing proceeding against Mr Lo Kai Bong and Major Success Group Limited (freezing order originally granted 11 June 2026), for which a continuation hearing was listed on 26 August 2026; we are confirming whether any order issued at that hearing falls within this month's coverage and will report further in next month's digest.

HONG KONG MONETARY AUTHORITY — HKMA

27 AUG 2026

Financial Regulators Announce First Cohort of GenA.I. Sandbox++

The HKMA, SFC, Insurance Authority and Mandatory Provident Fund Schemes Authority, together with Cyberport, announced the first cohort of the GenA.I. Sandbox++, selecting 36 use cases from close to 100 proposals involving 30 financial institutions and 27 technology partners. The selected use cases span three themes — risk management, anti-fraud measures and customer experience — giving participants access to GPU computing resources and regulatory engagement in a controlled environment. The initiative builds on the earlier GenA.I. Sandbox for the banking sector, now expanded across the securities, insurance and MPF sectors.

Read more: <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/08/20260827-3/>

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This digest is prepared for client information purposes and summarises publicly available SFC and HKMA announcements for 1 August 2026 – 31 August 2026. It is not legal advice; please consult your relationship manager or Wind Rose's compliance team before acting on any item.

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